

# The Celtic Tiger

Case overview — Foreign Direct Investment and Ireland's Tiger Economy



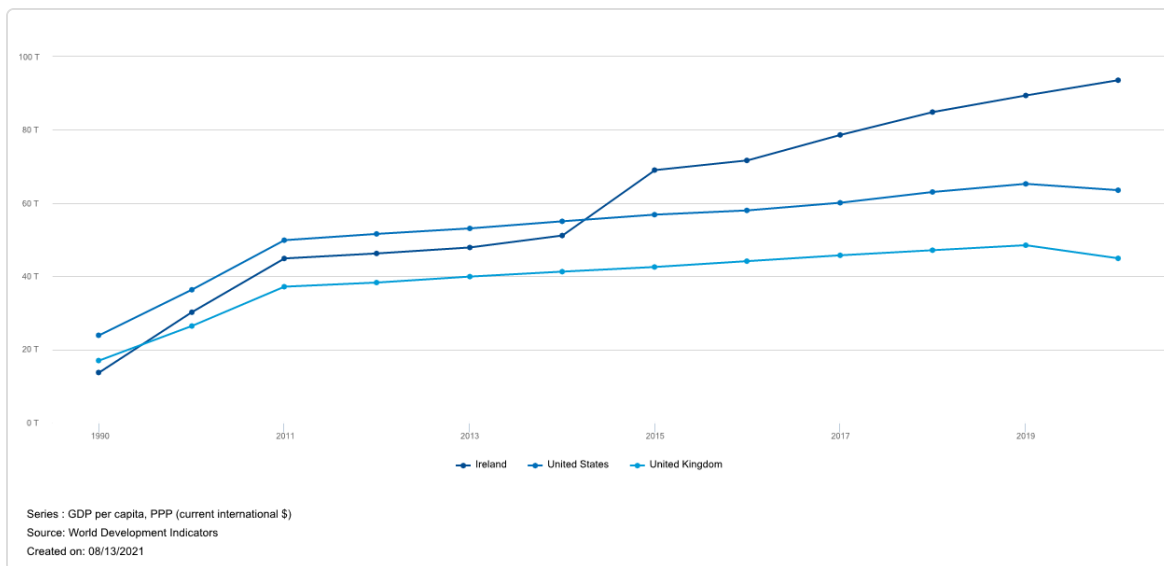
*Moone Boy, set in the west of Ireland in the late 1980s — before the Celtic Tiger boom.*



*Dublin today.*

## Overview

Ireland was long a very poor country with little indigenous (local) industry. Yet Ireland is now among the wealthiest countries in the European Union, measured by GDP per capita in purchasing power parity terms — today, Ireland's GDP per capita is even higher than that of the United States. Many attribute this dramatic economic growth to the Irish government's policy of aggressively courting foreign direct investment (FDI). This case traces the history of Ireland's investment-promotion activities and the debates within Irish society about the benefits and costs of FDI-led growth.



*GDP per capita, PPP (current international \$) — Ireland, United States, United Kingdom. Source: World Development Indicators.*

The case may feel a bit technical in places — that's fine. We'll work through any questions together in class.

## Some Potentially Unfamiliar Terms

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As you read, keep a running list of terms you're not sure of. Try looking them up on your own first; there will also be time in class to ask for clarification. A few terms that are likely to come up:

### **Current account**

The trade account. A current account deficit means a country has imported (bought from abroad) more goods and services than it has exported (sold abroad).

### **Macroeconomy**

The broad economy (as opposed to the microeconomy, which focuses on one firm) — here, the performance of the Irish economy as a whole. Key indicators include GDP (a measure of everything of value created in the economy in a year), inflation (how fast prices are rising), unemployment (the share of people who want to work but can't find a job), and budget deficits / debt-to-GDP (how much governments are borrowing and how large that debt is relative to GDP).

### **Exchange rate**

The rate at which a local currency can be converted into another currency. From the late 1970s until the euro, the Irish pound floated on currency markets, meaning its exchange rate was set by market forces. Ireland joined the euro in 1999, fixing its currency to those of other euro-area countries.

## How to Prepare

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Read the case using a scanning-then-re-reading strategy: skim first for structure and argument, then go back through more slowly. The case PDF runs about 29 pages, but a good portion of that is charts and endnotes — the actual text is closer to 12 pages.

Because this case asks you to evaluate a historical record rather than decide how an actor should act going forward, focus your first pass on identifying the main arguments for why FDI can help or hurt an economy, and the evidence in the case that supports each side.

## Learning Objectives

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Through reading, analyzing, and discussing this case, you'll develop a deeper understanding of the ways FDI affects economic growth. You'll be able to identify channels through which

FDI can create positive externalities (spillovers), as well as the ways it may limit growth — particularly by putting pressure on domestic firms. You'll also have to take a position on whether the benefits of FDI are worth the cost of subsidizing it through tax breaks and other fiscal inducements.

## **Big-Picture Questions to Keep in Mind**

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These are broad framing questions to guide your reading — not the specific prompts for the in-class write-up, which go deeper into the particular facts of the case and are distributed separately.

1. Is the Irish economy better off for its decades-long effort to attract FDI? Why or why not — what are the pros and cons of FDI for local economies?
2. Should countries subsidize FDI as part of a development strategy? Who gains and who loses from such policies?
3. Can other countries replicate the Irish model, or did it depend on context-specific characteristics?

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*This overview is here to help you prepare — it is not a substitute for the assigned reading. The specific discussion questions for our in-class case write-up are distributed at the start of class.*